BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

BENCH AT ALLAHABAD

ORIGINAL COMPANY JURISDICTION

In

COMPANY APPLICATION NO. 194/ALD/2020

(Under Section 230-232 of the Companies Act, 2013)

(DISTRICT: KANPUR)

In the matter of the Companies Act, 2013

AND

In the matter of Sections 230 - 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

In the matter of Scheme of Scheme of Amalgamation

Amongst

KANUPRIYA ENTERPRISES PRIVATE LIMITED
a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at "Sukhdham" Flat No. E-2, 7/17(9-10) Tilak Nagar, Kanpur- 208002, Uttar Pradesh, India, and having corporate identity number U29261UP1995PTC018782.

.....Applicant Company No. 1/Transferor Company-1

AND

DHRITIKA HOLDINGS LIMITED

an unlisted public limited company existing under the provisions of Companies Act, 2013 and having its Registered Office at "Sukhdham" Flat No. E-2, 7/17 (9-10), Tilak Nagar, Kanpur- 208002, Uttar Pradesh, India, and having corporate identification number U65993UP1983PLC005938.

... Applicant Company No. 2/Transferor Company-2

AND

INJECTOPLAST PRIVATE LIMITED
a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at 205, Leela Palace 7/85, Tilak Nagar, Kanpur-208002, Uttar Pradesh, India, and having corporate identification number U25201UP1996PTC020772.

... Applicant Company No. 3/Transferee Company

AND

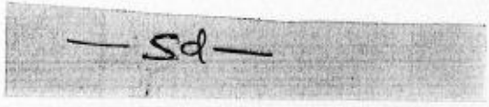
Their respective Shareholders and Creditors

ORDER DELIVERED ON:28.10.2020

CORAM:

Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare,Member (Judicial)

For the Petitioners: Mr.Rahul Agarwal,Advocate



Per: Mr. Justice (Retd.) Rajesh Dayal Khare,Member (Judicial))

ORDER

1. This is an application under Section230-232 of the Companies Act, 2013 praying for sanctioning of the sanctioning of the Scheme of Amalgamation which proposes the amalgamation of Applicant Company No. 1/ Transferor Company-1 and Applicant Company No. 2/ Transferor Company-2 with Applicant Company No. 3/ Transferee Company. The Scheme of Amalgamation is annexed as Annexure 1 to the application.

2. It is stated that Kanupriya Enterprises Private Limited ("Transferor Company-1" or "KEPL") is a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at "Sukhdham" Flat No. E-2, 7/17(9-10) Tilak Nagar, Kanpur- 208002, Uttar Pradesh. The Transferor Company-1 was originally incorporated on September 25, 1995 as a "Public Limited Company" under the provisions of Companies Act, 1956 in the name and style of "Lohia ICBT Limited" having its registered office at D-3/A, Panki Industrial Estate, Kanpur -208022, Uttar Pradesh. The status of KEPL was subsequently changed to "Private Limited Company" on June 22, 2010. The name of Transferor Company-1 was subsequently changed to "Kanupriya Enterprises Private Limited" on January 10, 2011. The registered office of KEPL was shifted to "Sukhdham", Flat No. E-2, 7/17(9-10), Tilak Nagar, Kanpur – 208002, Uttar Pradesh on April 19, 2017. The Corporate Identification Number of KEPL is U29261UP1995PTC018782.

3. Dhritika Holdings Limited ("Transferor Company-2" or "DHL") is an unlisted public limited company existing under the provisions of Companies Act, 2013 and having its Registered Office at "Sukhdham" Flat No. E-2, 7/17 (9-10), Tilak Nagar, Kanpur- 208002, Uttar Pradesh. The Transferor Company-2 was originally incorporated on January 27, 1983 under the provisions of Companies Act, 1956 in the name and style of "Lohia Investments Limited" having its registered office at 113/91, Swaroop Nagar, Kanpur, Uttar Pradesh. The registered office of DHL has been shifted to 123/389, Fazalganj, Kanpur, Uttar Pradesh on March 1, 1983; to 117/N/95, Kakadeo, Kanpur, Uttar Pradesh on May 7, 1986; to D-3/A, Panki Industrial Estate, Kanpur -208022, Uttar Pradesh on November 1, 1989; and to the current registered office situated at

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"Sukhdham", Flat No. E-2, 7/17(9-10), Tilak Nagar, Kanpur – 208002, Uttar Pradesh on December 2, 2017. The name of the Transferor Company-2 was subsequently changed to "Dhritika Holdings Limited" on February 6, 2019. The Corporate Identification Number of DHL is U65993UP1983PLC005938.

4. It is further submitted that Injectoplast Private Limited ("Transferee Company" or "IPL"), is a private limited company existing under the provisions of the Companies Act, 2013 and having its registered office at 205, Leela Palace 7/85, Tilak Nagar, Kanpur-208002, Uttar Pradesh. The Transferee Company was incorporated on October 1, 1996 under the provisions of Companies Act, 1956 having its registered office at D-3/A, Panki Industrial Estate, Kanpur -208022, Uttar The registered office of IPL was shifted to 205, Leela Palace, 7/85, Tilak Nagar, Kanpur -208002, Uttar Pradesh on April 16, 2018. The Corporate Identification Number of IPL is U25201UP1996PTC020772. The Permanent Account Number of IPL is AAACI3321D. Further, on 22nd September,2020 the company is registered under as a Medium Enterprise under Micro, Small and Medium Enterprises Development Act, 2006. The UDYAM Registration number UDYAM-UP-43-0002901.

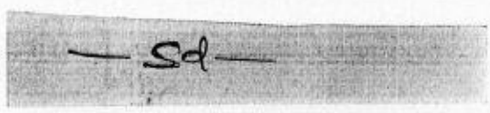
5. The Counsel for the Applicant Companies further submits that the amalgamation of KEPL/the Transferor Company-1 and DHL/the Transferor Company-2 with IPL/the Transferee Company would, inter-alia, have the following benefits:

a. Consolidation and simplification of the holding structure by reducing the corporate shareholding tiers;

b. Reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Transferor Companies and will avoid duplication of administrative functions and eliminate multiple record keeping, consequently reducing the administrative costs of maintaining separate companies.

c. Greater efficiency in the combined business in terms of pooling of resources, management team, and the optimum utilization of resources

d. The businesses and activities of the Transferor Companies and Transferee Company will be carried on more economically, conveniently and advantageously post the proposed consolidation and the same will have beneficial results for the said Companies, their shareholders, stakeholders and all concerned



e. The Scheme is not opposed to public policy and does not have any adverse effect on either the shareholders or employees or creditors of the Transferor Companies and Transferee Company

6. It is further submitted that the Scheme of Amalgamation has been approved by the Board of Directors of the Applicant Company No. 1/ Transferor Company-1; Applicant Company No. 2/ Transferor Company-2 and Applicant Company No. 3/ Transferee Company in their respective meetings duly convened on 21st September, 2020. Copy of the resolution passed by the Board of Directors of the Applicant Companies approving the Scheme of Amalgamation and List of Directors are enclosed as Annexure-11, 12 and 13 to the application.

7. It is also submitted that the Scheme is not opposed to public policy and does not have any adverse effect on either the shareholders or employees or creditors of the Transferor Companies and Transferee Company.

8. It is stated that the valuation for the purpose of the scheme was undertaken by Madhvi Takiar Sehgal, Registered Valuer, who has given the share entitlement report which is annexed as Annexure 14 to the application.

9. As per the share entitlement report, upon the Scheme becoming effective and in consideration for the amalgamation of Transferor Companies with Transferee Company, Transferee Company shall, without any further act or deed, issue and allot to each equity shareholder of Transferor Companies (whose name appear in the register of members as on the Record Date or to their respective heirs, executors, administrators or other legal representatives or the successors-in-title, as the case may be)the following equity shares:

For shareholders of Transferor Co. 1

"15,99,000 (Fifteen lakh ninety nine thousand) Equity Share(s) of the face value of INR 10/- (Rupees Ten) each of the Transferee Company, credited as fully paid-up, in proportion of the number of equity shares of Rs 10 each, fully paid-up, held by the shareholders in the Transferor Company-1", and

For shareholders of Transferor Co. 2

"8,01,000 (Eight lakh one thousand) Equity Share(s) of the face value of INR 10 each of each of the Transferee Company, credited as fully paid-up, in

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proportion of the number of equity shares of Rs 10 each, fully paid-up, held by the shareholders in the Transferor Company-2" (collectively "Share Entitlement Ratio")

10. The Applicant Companies have duly complied with the accounting standards. Certificate to this effect from the auditors has been annexed as Annexure 15, 16 and 17 to the application.

11. It is further submitted that Applicant Company No. 1/Transferor Company-1 has 12 (*twelve*) equity shareholders. All the equity shareholders of the Applicant Company No. 1/ Transferor Company-1 have given their consent to the proposed Scheme of Amalgamation in writing. The CA certificate certifying the list of Equity Shareholders of the Applicant Company No.1/ Transferor Company-1 as well as consent affidavits of the Equity Shareholders of the Applicant Company No.1/ Transferor Company-1 are enclosed as Annexure-18 and Annexure-19 to the application.

12. The Applicant Company No.1/ Transferor Company-1 has no Secured and unsecured Creditors. The CA certificate to this effect are enclosed as Annexure-20 and Annexure-21 to the application. Thus, it is prayed that this Hon'ble Tribunal may be pleased to dispense with the holding of the meeting of the equity shareholders as well as secured and unsecured creditors of the Applicant Company No. 1/ Transferor Company-1, to consider the Scheme.

13. With respect to Applicant Company No. 2/ Transferor Company-2, it is submitted that it has 7 *(seven)* equity shareholders and all of them have given their consent to the proposed Scheme of Amalgamation in writing. The CA certificate certifying the list of equity shareholders as well as consent affidavits of the equity shareholders of the Applicant Company No.2/ Transferor Company-2 are enclosed as Annexure-22 and Annexure-23 to the application.

14. Further, there is no Secured Creditor and only 1 (*one*) Unsecured Creditor of Applicant Company No.2/Transferor Company-2. The only unsecured creditor of Applicant Company No.2/Transferor Company-2 has given its consent in form of affidavit. The CA certificate certifying the list of Secured and unsecured creditor of Applicant Company No.2/ Transferor Company-2 as well as written consent of the only unsecured

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creditor are enclosed as Annexure-24, Annexure-25 and Annexure-26 to the application.

15. It is accordingly prayed that this Hon'ble Tribunal may be pleased to dispense with the holding of the meeting of the equity shareholders, secured creditors and unsecured creditors of the Applicant Company No.2/ Transferor Company-2, to consider the Scheme.

16. With regard to Applicant Company No. 3/ Transferee Company, it is submitted that it has 4 *(four)* equity shareholders. All the equity shareholders of the Applicant Company No. 3/ Transferee Company have given their consent to the proposed Scheme of Amalgamation in writing. The Applicant Company No.3/ Transferee Company has no secured creditor and has 178 *(One Seventy Eight)* unsecured creditors. The CA certificate certifying the list of equity share holders, secured creditors and unsecured creditors as well as consent affidavits of the equity shareholders of the Applicant Company No.3/ Transferee Company are enclosed as Annexure -27, Annexure-28, Anmexure-29 and Annexure-30 to the application.

17. In view of the above, dispensation with the holding of the meeting of the equity shareholders and secured creditors of the Applicant Company No. 3/ Transferee Company, to consider the Scheme has been prayed for.

18. Further, it is prayed that direction may be issued regarding convening of the meeting of the unsecured creditors of the Applicant Company No. 3/ Transferee Company, to consider the Scheme.

19. It was also submitted with reference to the list of unsecured creditors and their outstanding balance at Annexure 29 to the application that most of the unsecured creditors of the Applicant Company No. 3/ Transferee Company are trade creditors with minimal amounts. It was pointed out that while the total debt due to the unsecured creditors was approximately Rs. 12.50 crores, the total debt due to trade creditors below Rs. 20,000/- each was only approximately Rs. 7 lakhs, and these unsecured creditors form a huge proportion of the total numbers of the unsecured creditors. Since there would be no effect on their status, it was submitted that the process of issuance of notice and convening of the meeting would be greatly simplified, and crowding etc. would also be avoided in these pandemic affected days if the Applicant Company No. 3/

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Transferee Company is dispensed from issuing notices to those unsecured creditors who are owed Rs. 20,000/- or less.

20. Heard the arguments of the Learned Counsel for the applicant companies and perused the documents annexed to the application.

21. In view of the facts stated above, the following orders are passed:-

i. Since all the equity shareholders of the Applicant Company No. 1/ Transferor Company-1; Applicant Company No. 2/ Transferor Company-2 and Applicant Company No. 3/ Transferee Company representing 100% of share holding have given consent in form of affidavit to the proposed Scheme, the convening and holding of meetings of the equity shareholders of the Applicant Company No. 1/ Transferor Company-1; Applicant Company No. 2/ Transferor Company-2 and Applicant Company No. 3/ Transferee Company is dispensed with.

ii. Further, since there is no secured creditor in Applicant Company No. 1/ Transferor Company-1; Applicant Company No. 2/ Transferor Company-2 and Applicant Company No. 3/ Transferee Company, thus convening and holding of meetings of the secured creditor of these Companies is also dispensed with.

iii. As there is no unsecured creditor in Applicant Company No. 1/ Transferor Company-1, there is no requirement of convening their meeting;

iv. As the only unsecured creditor of Applicant Company No. 2/ Transferor Company-2 has given its consent in form of affidavit to the proposed Scheme, the convening and holding of meetings of the said unsecured creditor is dispensed with

v. The Tribunal directs that a meeting of unsecured creditors of the Applicant Company No. 3/ Transferee Company be convened and held at 485/B, Amiliha, P.O. Tatiaganj, Chaubepur, Kanpur – 209 217 where manufacturing facilities of Applicant Company No.3/ Transferee Company is located on November 28th, 2020 at 12 PM for the purpose of considering and if thought fit, approving, with or without modification(s), the Scheme of Amalgamation.

vi. At least thirty (30) clear days before the said meeting of the unsecured creditors of the Applicant Company No. 3/ Transferee Company to be held as aforesaid, notice convening the said meetings at the place, date and time aforesaid, together with a copy of the Scheme, a copy of the Explanatory Statement required to be sent under Section 230 of the

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Companies Act, 2013 and the prescribed Form of Proxy, shall be sent by Registered Post / Courier / Speed Post or by Hand Delivery to each of the unsecured creditors of the Applicant Company No. 3/ Transferee Company at their respective registered or last known addresses or through e-mail to the registered email address of the unsecured creditors of the Applicant Company No. 3/ Transferee Company as per the records of the Applicant Company. It is clarified that notices be issued only to those unsecured creditors who are owed more than Rs. 20,000/- in the books of the Applicant Company No. 3/Transferee Company and the prayer for doing away with issuing notices to those unsecured creditors who are owed Rs. 20,000/- or less by the Applicant Company No. 3/Transferee Company is allowed.

vii. At least thirty (30) clear days before the meeting of the unsecured creditors of the Applicant Company No. 3/ Transferee Company is held as aforesaid, the notice indicating the place, date and time of the aforesaid meeting be published and advertised in two local newspapers viz. 'Business Standard' in English and 'Rashtriya Sahara' in Hindi having wide circulation in District Kanpur in Form No. CAA.2 of the Rules, 2016 which shall also be placed on the website of the Applicant Company No. 3/ Transferee Company, if any.

viii. ***Shri Ranajit Shome, Advocate (Mobile No. 9415310261),Email Id:shomeranajit@gmail.com*** and **Shri *Aman Kumar Dwivedi, Advocate (Mobile No. 8090689493), Email Id: advocateamandwivedi@gmail.com*** are appointed as the Chairman and the Alternate Chairman for the aforesaid meeting of unsecured creditors of the Applicant Company No. 3/ Transferee Company. The Scrutinizer for the said meeting shall be ***Shri Shashi Kant Gupta, Practising Company Secretary, Kanpur (Mobile No. 9415042137).***

ix. The Chairman and Alternate Chairman shall be paid Rs. 1,00,000/- as honorarium and the Scrutinizer shall be paid Rs. 75,000/- as honorarium. Apart from above remuneration the Applicant Company No. 3/ Transferee Company shall make necessary and proper arrangement for travel/ transport, stay and other allied expenses.

x. The Chairman appointed for the aforesaid Meeting shall issue the notice of the meeting referred to above and shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules,

2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person(s).

xi. The quorum for the aforesaid meeting of the unsecured creditors of the Applicant Company No. 3/ Transferee Company shall be as prescribed for a meeting for equity shareholders under Section 103 of the Companies Act, 2013. In case the quorum for the aforesaid meeting is not present, then the meeting shall be adjourned for half an hour and the person(s) present at the adjourned meeting of the unsecured creditors shall be deemed to constitute the quorum.

xii. The unsecured creditors who receive the notice may within one (1) month from the date of receipt of the notice vote in the meeting either in person or through proxy or through postal ballot for the adoption of the Scheme of Amalgamation.

xiii. The voting by proxy or authorised representative in case of body corporate be permitted, provided that the proxy in the prescribed form/ authorisation duly signed by the person entitled to attend and vote at the meeting, is filed with the Applicant Company No. 3/Transferee Company at its Registered Office at 205, Leela Palace 7/85, Tilak Nagar, Kanpur-208002, Uttar Pradesh, India, not later than 48 hours before the aforesaid meeting as required under Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

xiv. The Chairman to file an affidavit not less than seven (7) days before the date fixed for the holding of the aforesaid meeting and do report this Tribunal that the direction regarding the issue of notices and the advertisement have been duly complied with as per Rule 12 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

xv. The Chairman to report to this Tribunal, the result of the aforesaid meeting within thirty (30) days of the conclusion of the meeting, and the said report shall be verified by his Affidavit as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The report of the result of the meeting shall state accurately the number of creditors who were present and who voted at the meeting

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either in person or by proxy, their individual values and the way they voted.

xvi. The Applicant Companies are directed to serve the notice upon the (i) concerned Income Tax Authority within whose jurisdiction the Applicant Company's assessments are made; (ii) the Central Government through the office of Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (iii) Registrar of Companies; (iv) Office of Official Liquidator (v) the Reserve Bank of India and (vi) the Competition Commission of India with a direction that they may submit their representations, if any, within a period of thirty (30) days from the date of receipt of such notice to the Tribunal with a copy of such representations shall simultaneously be served upon the Applicant Companies, failing which, it shall be presumed that the authorities have no representations to make on the proposals.

xvii. The Applicant Companies to file an affidavit of service of the directions in the Registry proving dispatch of notices, publication of notices in newspapers and to the regulatory authorities as stated in clause above and do report to this Tribunal that the direction regarding the issue of notices have been duly complied with.

In view of the above mentioned directions the Company application bearing No. 194/ALD/ 2020 is accordingly, disposed off.

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JUSTICE RAJESH DAYAL KHARE
MEMBER (J)

Date: 28.10.2020

Swati Gupta
(LRA)